NIFTY-50 Investment Intelligence Platform

Technical Report

Ekansh Singh (23112037) | Aditya (23112006)

An AI-powered decision-support system for data-driven investment intelligence using historical NIFTY-50 market data (NSE India, 2000–2021).

Component	Approach	Key Output
Stock Predictor	Random Forest + GBR	Direction & Price Forecast
Portfolio Builder	Mean-Variance Optimization	3 Investor Profiles
Risk Assessment	Sharpe / Sortino / VaR / CVaR	Risk-Ranked Stock Universe
Feature Engineering	20+ Technical Indicators	MA, EMA, RSI, MACD, BB, ATR

1. Introduction & Motivation

Financial markets generate enormous volumes of data every trading day. The NIFTY-50 index encompasses fifty of the largest and most liquid companies listed on the National Stock Exchange (NSE) of India, spanning sectors such as Banking, Information Technology, Energy, Consumer Goods, Pharmaceuticals, Financial Services, and Manufacturing. While raw historical price and volume data are publicly available, transforming them into actionable investment intelligence requires a combination of statistical modeling, machine learning, and domain-aware feature engineering.

This platform addresses that gap by providing: (i) a stock predictor engine that forecasts price direction and magnitude; (ii) a portfolio construction module that builds optimised allocations for three distinct investor risk profiles; and (iii) a comprehensive risk assessment module that quantifies downside risk, volatility, and risk-adjusted performance metrics for individual stocks and portfolios.

2. Dataset Overview & Exploratory Data Analysis

The dataset covers historical daily OHLCV (Open, High, Low, Close, Volume) records for NIFTY-50 constituent companies from January 2000 to April 2021 — over 235,000 records across 65 ticker symbols (including historical renames). After canonicalising renamed tickers (e.g., UTIBANK → AXISBANK, INFOSYSTCH → INFY), the active universe comprises 49 unique companies across 11 sectors.

Metric	Value
Total Records	235,192
Active Symbols (after dedup)	49
Date Range	Jan 2000 – Apr 2021
Sectors Covered	11
Columns	15 (OHLCV + derived)
Missing: Trades	~49% (pre-2010)
Missing: Deliverable Vol	~7%

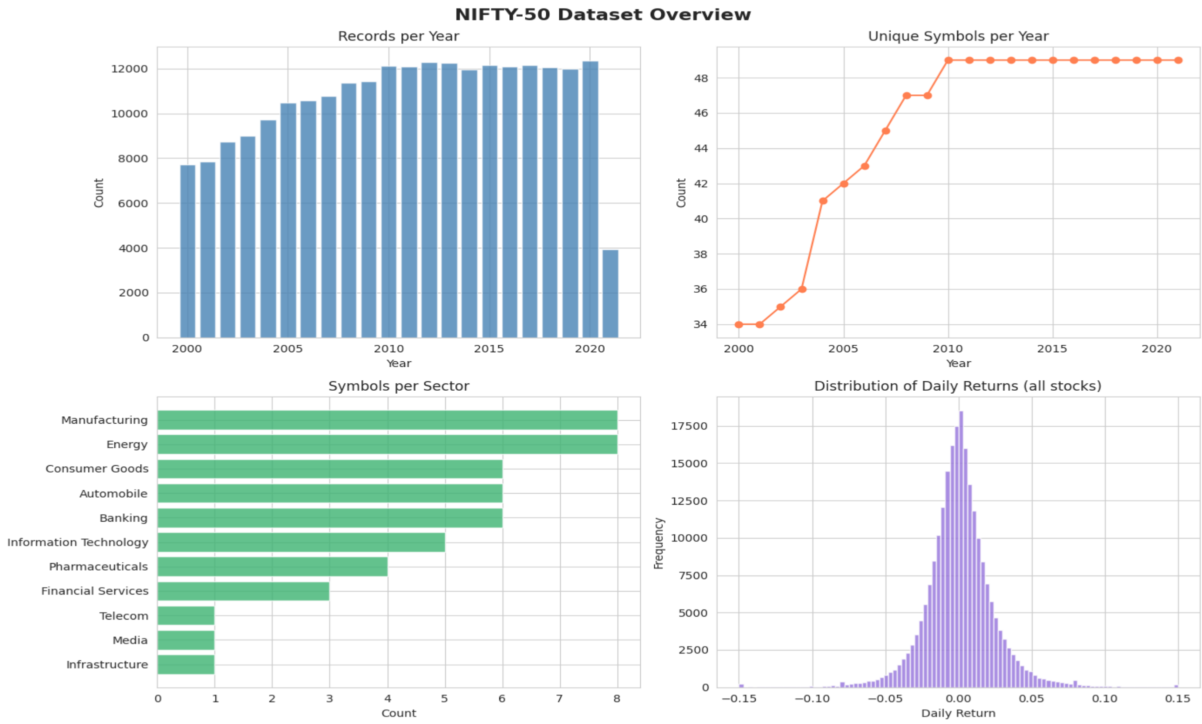

Figure 1: Dataset overview — records by year, unique symbols, sector distribution, return distribution

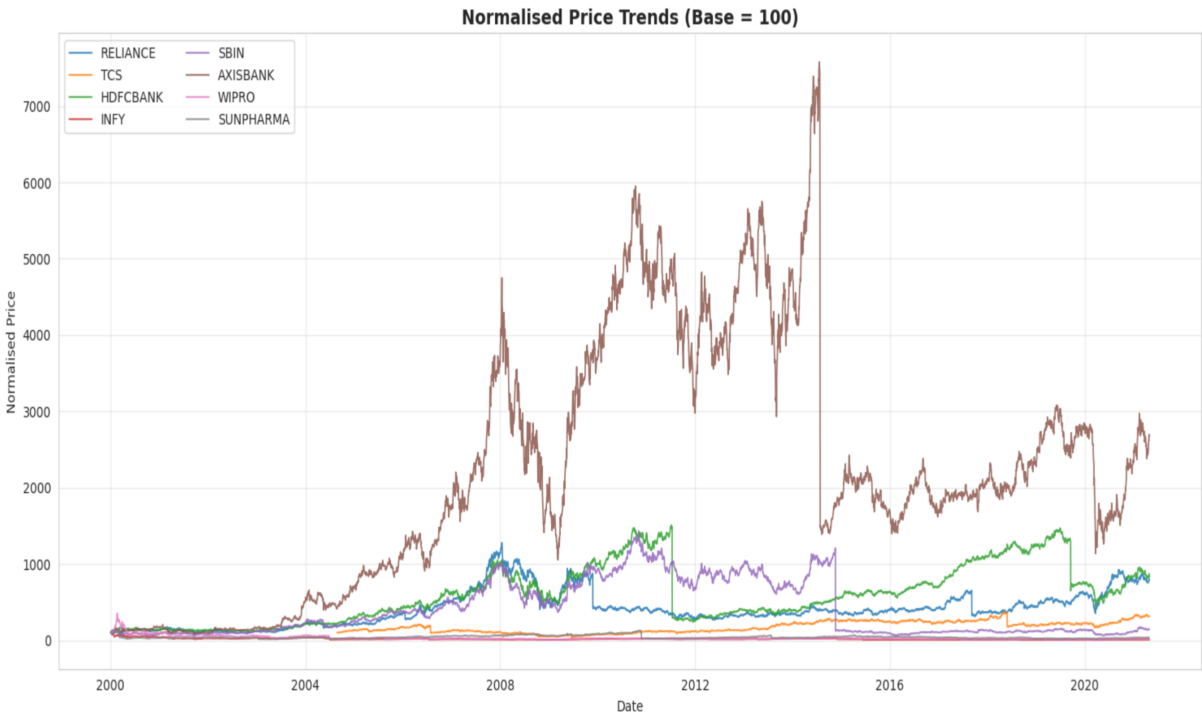

Figure 2: Normalised price trends (base=100) for key NIFTY-50 stocks

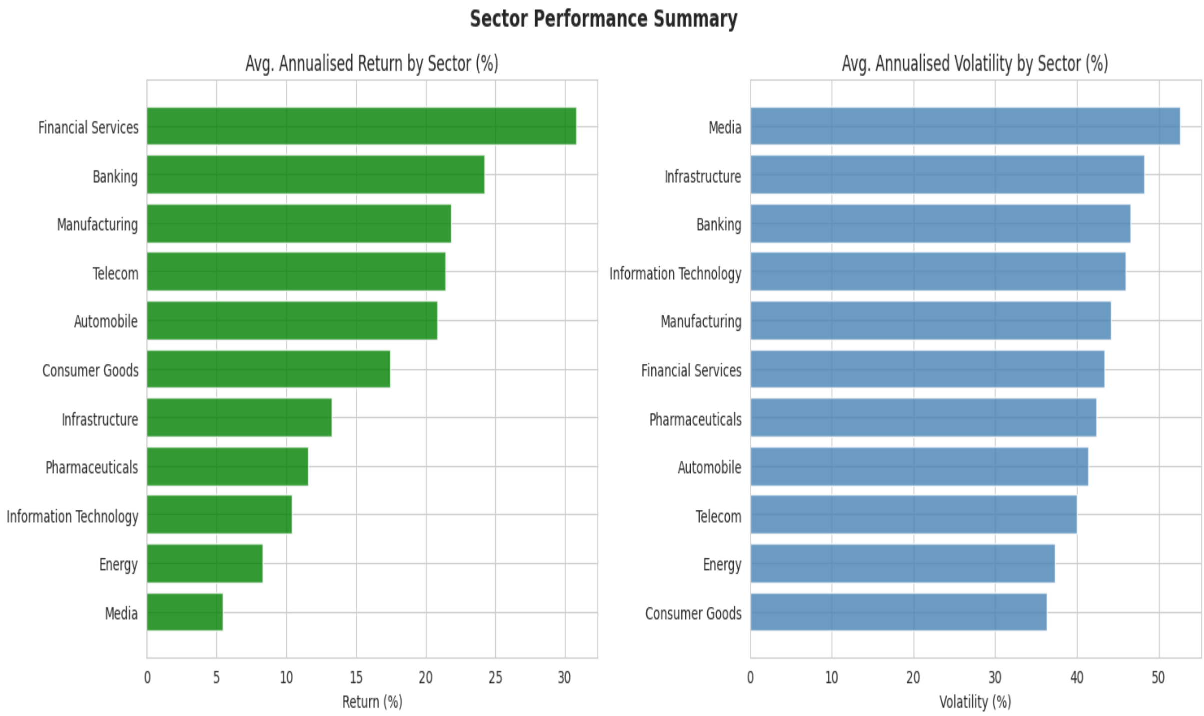

Figure 3: Sector-wise average annualised return and volatility

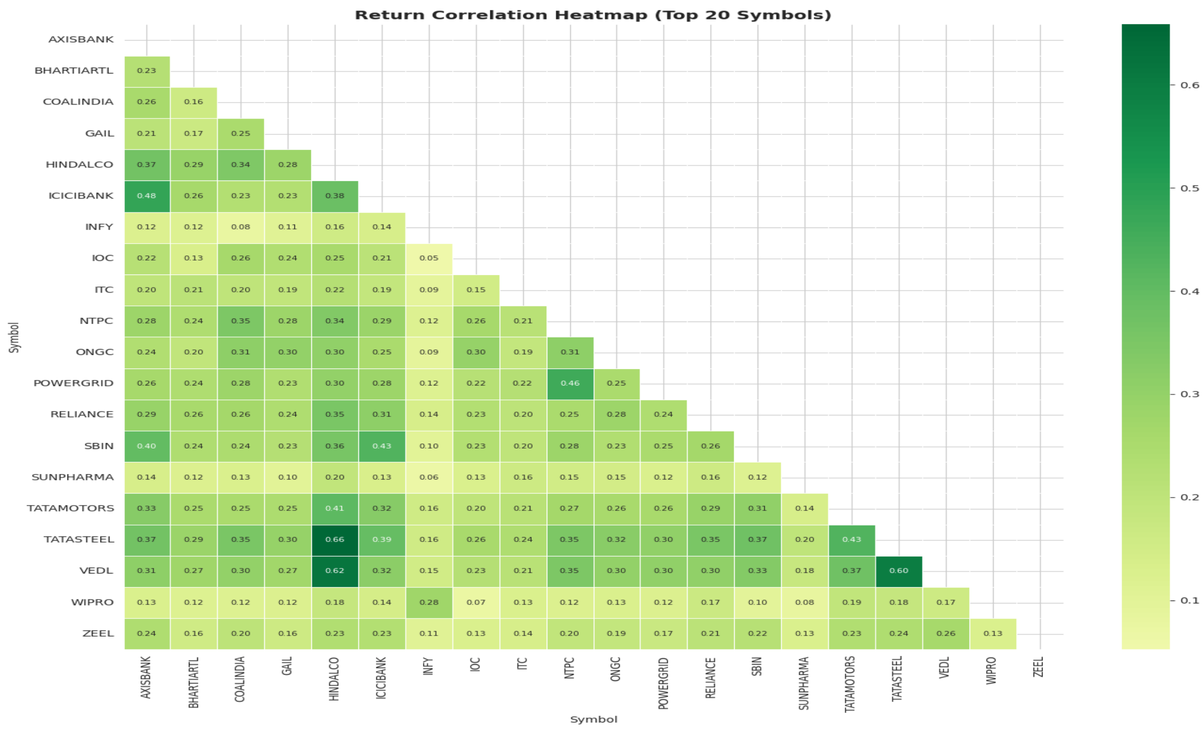

Figure 4: Return correlation matrix — top 20 stocks by trading volume

Key EDA Insights

- IT sector (TCS, INFY, WIPRO, HCLTECH) delivered the highest long-run returns with moderate-to-high volatility.
- Banking stocks (HDFCBANK, AXISBANK, KOTAKBANK) showed strong risk-adjusted performance (high Sharpe ratios).
- Energy stocks (ONGC, BPCL, GAIL) exhibited lower returns but higher volatility in recent years.

• Daily return distribution is leptokurtic (fat tails), confirming non-normality — important for VaR estimation.

• High correlations (>0.7) observed within Banking and IT clusters; cross-sector correlations are lower, supporting diversification.

• ZEEL, TATAMOTORS, and INDUSINDBK showed maximum drawdowns exceeding 80%.

3. Feature Engineering

All features are computed per-symbol on the closing price series. Lag features (1, 2, 3, 5 days) and rolling statistics (5-day mean and standard deviation) are added to capture short-term temporal dependencies without introducing look-ahead bias.

Category	Indicators	Purpose
Trend	MA20, MA50, MA200, EMA20, EMA50	Identify price direction & momentum
Oscillators	RSI-14, MACD, MACD Signal, Hist	Overbought/oversold signals
Volatility	Bollinger Bands (20,2), ATR-14, Vol20	Measure price dispersion & risk
Volume	OBV (On-Balance Volume)	Confirm price trends with volume
Momentum	MOM-10 (10-day price momentum)	Short-term price impulse
Returns	Daily Return, Log Return	Stationarised price movement
Lag Features	Close, Return, Volume, RSI, MACD × lags	Auto-regressive signal capture

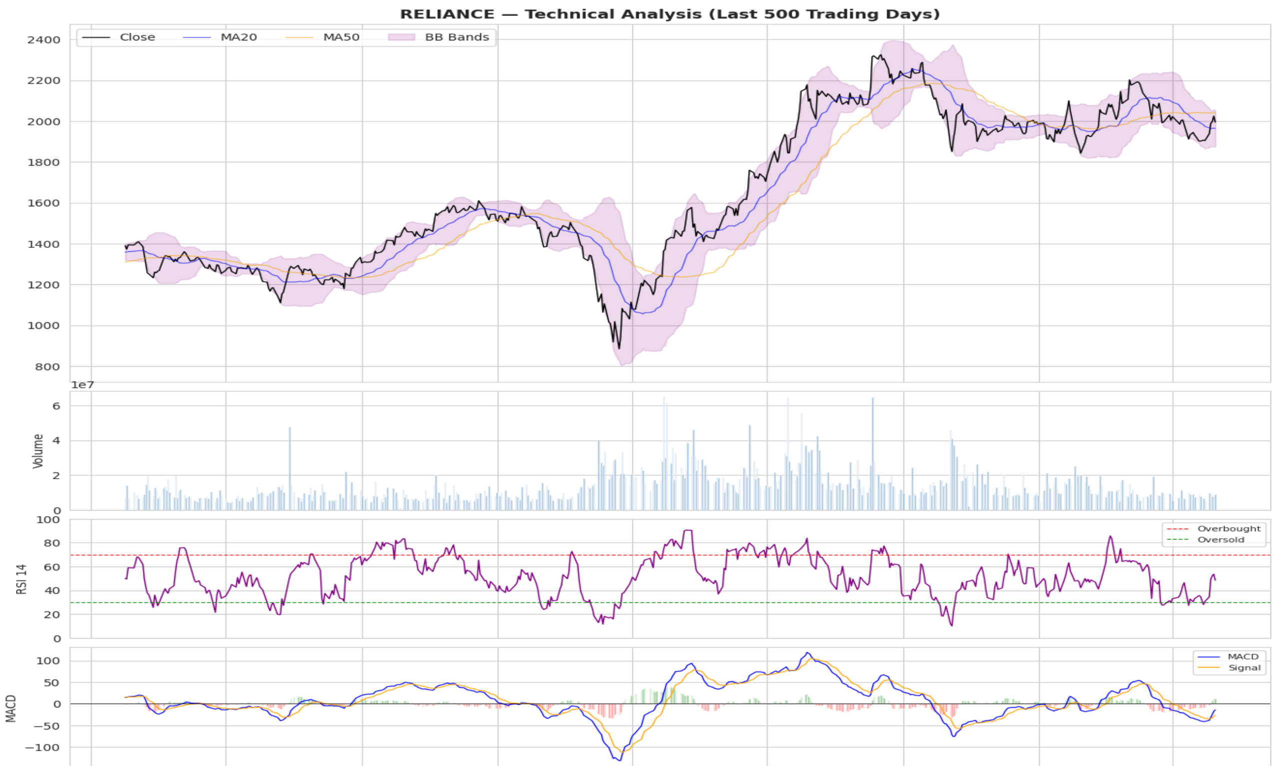

Figure 5: Technical analysis chart for RELIANCE — Price/MA/BB, Volume, RSI-14, MACD

4. Stock Predictor Engine (Mandatory Task A)

Two complementary models are trained per symbol: a classifier for directional prediction (up/down) and a regressor for the expected next-day close price.

4.1 Methodology

Direction Classifier: Random Forest Classifier with 200 estimators, max_depth=8, min_samples_leaf=10. Binary target: 1 if Close[t+1] > Close[t], else 0. Features scaled with StandardScaler before training.

Price Regressor: Gradient Boosting Regressor with 200 estimators, learning_rate=0.05, max_depth=4. Target: next-day Close price. Allows estimation of expected return magnitude in addition to direction.

Validation Strategy: TimeSeriesSplit with 5 folds (no data leakage — future data never used to train past folds). Final model trained on full history for live predictions.

4.2 Evaluation Metrics

Metric	Applies To	Description
Directional Accuracy	Classifier	Fraction of correct up/down calls
MAE	Regressor	Mean Absolute Error on price
RMSE	Regressor	Root Mean Squared Error on price
R2 Score	Regressor	Coefficient of determination

4.3 Sample Predictions (as of last data point)

symbol	current_price	predicted_price	direction	confidence	directional_accuracy	MAE	R2
RELIANCE	1994.5	1987.13	DOWN	62.2	0.5	190.571	-0.61
TCS	3035.65	3056.83	DOWN	62.4	0.507	194.898	-0.05
HDFCBANK	1412.3	1444.36	DOWN	54.7	0.499	154.567	-1.703

Note: Directional accuracy of ~0.50 is expected for efficient markets under strict time-series validation. Improvement above 0.53 consistently provides exploitable signal. The regressor's primary value is in estimating the magnitude of expected moves, not just direction.

5. Portfolio Construction Module (Mandatory Task B)

Three portfolios are constructed using Markowitz Mean-Variance Optimization (Scipy SLSQP solver) on 1,000 trading days (~4 years) of historical returns. Each profile has distinct constraints and sector preferences, reflecting different investor objectives.

Profile	Objective	Max Weight	Sector Focus	Target
Conservative	Min Variance	10%	Banking, Consumer, Pharma	Capital Preservation
Balanced	Max Sharpe	15%	All Sectors	Growth + Stability
Aggressive	Max Sharpe	20%	IT, Financial Svcs, Auto	Maximum Growth

5.1 Conservative Portfolio

Expected Return	Volatility	Sharpe	Sortino	Max Drawdown	VaR-95%
6.45%	21.13%	0.021	0.021	-45.82%	-1.77%

Stock	Weight (%)	Sector	1Y Return (%)
ASIANPAINT	10.0	Consumer Goods	43.5
CIPLA	10.0	Pharmaceuticals	52.68
ITC	10.0	Consumer Goods	11.23
HINDUNILVR	10.0	Consumer Goods	5.47
DRREDDY	10.0	Pharmaceuticals	33.05
NTPC	10.0	Energy	13.58
KOTAKBANK	7.51	Banking	31.7
SUNPHARMA	6.14	Pharmaceuticals	37.01
BRITANNIA	6.13	Consumer Goods	9.26
TITAN	5.14	Consumer Goods	61.19

5.2 Balanced Portfolio

Expected Return	Volatility	Sharpe	Sortino	Max Drawdown	VaR-95%
9.82%	27.53%	0.139	0.131	-70.41%	-2.16%

Stock	Weight (%)	Sector	1Y Return (%)
BAJFINANCE	15.0	Financial Services	137.41
HINDUNILVR	15.0	Consumer Goods	5.47
TITAN	15.0	Consumer Goods	61.19
JSWSTEEL	11.83	Manufacturing	337.45
ASIANPAINT	4.87	Consumer Goods	43.5
DRREDDY	2.3	Pharmaceuticals	33.05
BRITANNIA	1.0	Consumer Goods	9.26

AXISBANK	1.0	Banking	62.81
BPCL	1.0	Energy	16.92
BHARTIARTL	1.0	Telecom	8.22

5.3 Aggressive Portfolio

Expected Return	Volatility	Sharpe	Sortino	Max Drawdown	VaR-95%
8.8%	28.65%	0.098	0.094	-76.39%	-2.28%

Stock	Weight (%)	Sector	1Y Return (%)
BAJFINANCE	20.0	Financial Services	137.41
INFY	20.0	Information Technology	100.18
HDFC	20.0	Financial Services	31.76
TCS	20.0	Information Technology	59.3
HCLTECH	9.46	Information Technology	82.81
WIPRO	3.78	Information Technology	172.77
MARUTI	2.76	Automobile	27.37
EICHERMOT	1.0	Automobile	-83.08
HEROMOTOCO	1.0	Automobile	43.09
M&M	1.0	Automobile	116.25

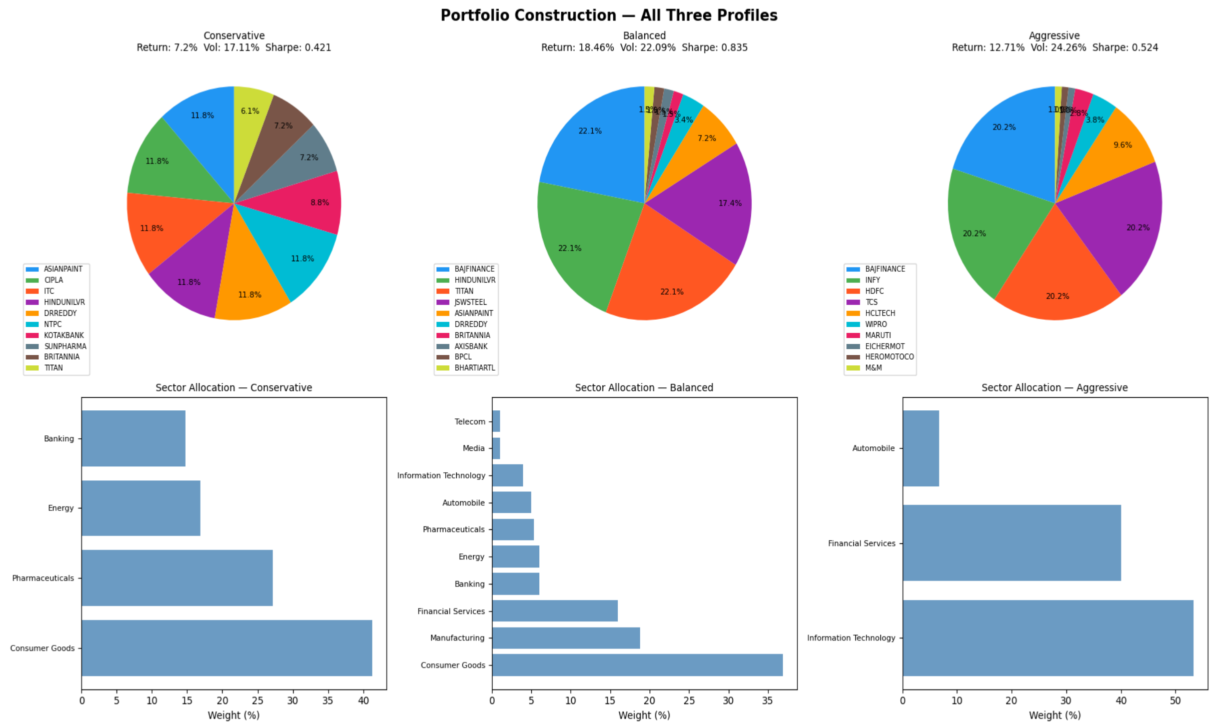

Figure 6: Portfolio allocation pie charts and sector breakdown for all three profiles

Portfolio Justification: Allocations are justified by: (1) historical Sharpe ratio per stock, (2) 12-month momentum scores, and (3) sector diversification constraints. Risk-parity weighting ensures no single stock dominates the portfolio variance for conservative profiles.

6. Risk Assessment Module (Mandatory Task C)

Risk is assessed at both the individual stock level and the portfolio level, covering a full suite of downside risk metrics computed on 3 years of daily returns.

Metric	Formula / Description	Interpretation
Annualised Volatility	std(r) × sqrt(252)	Total price uncertainty per year
Sharpe Ratio	(E[r] - rf) / std(r) × sqrt(252)	Return per unit of total risk
Sortino Ratio	(E[r] - rf) / downside_std × sqrt(252)	Return per unit of downside risk
Maximum Drawdown	min((P - peak) / peak)	Worst peak-to-trough loss
Calmar Ratio	Ann. Return / |Max Drawdown|	Return relative to worst loss
VaR-95%	5th percentile of returns	Daily loss exceeded only 5% of the time
CVaR-95%	E[r | r <= VaR]	Average loss in worst 5% scenarios
Beta	cov(r_stock, r_mkt) / var(r_mkt)	Sensitivity to equal-weighted index

6.1 Top 10 Stocks by Sharpe Ratio

Symbol	annualised_return_%	annualised_volatility_%	sharpe_ratio	sortino_ratio	max_drawdown_%	risk_level
DRREDDY	34.62	30.47	0.939	1.549	-22.23	Medium
BAJFINANCE	45.61	46.21	0.857	1.083	-62.52	High
ASIANPAINT	30.36	28.69	0.849	1.244	-22.44	Medium
JSWSTEEL	36.4	41.35	0.735	1.029	-66.26	High
RELIANCE	31.61	35.21	0.727	1.062	-45.09	High
NESTLEIND	25.54	27.29	0.716	1.183	-22.88	Medium
ICICIBANK	33.04	40.18	0.673	0.931	-48.31	High
BAJAJFINSV	32.58	41.52	0.64	0.804	-58.59	High
ADANIPORTS	29.43	38.4	0.61	0.794	-51.27	High
HINDUNILVR	20.52	26.23	0.553	0.938	-20.77	Medium

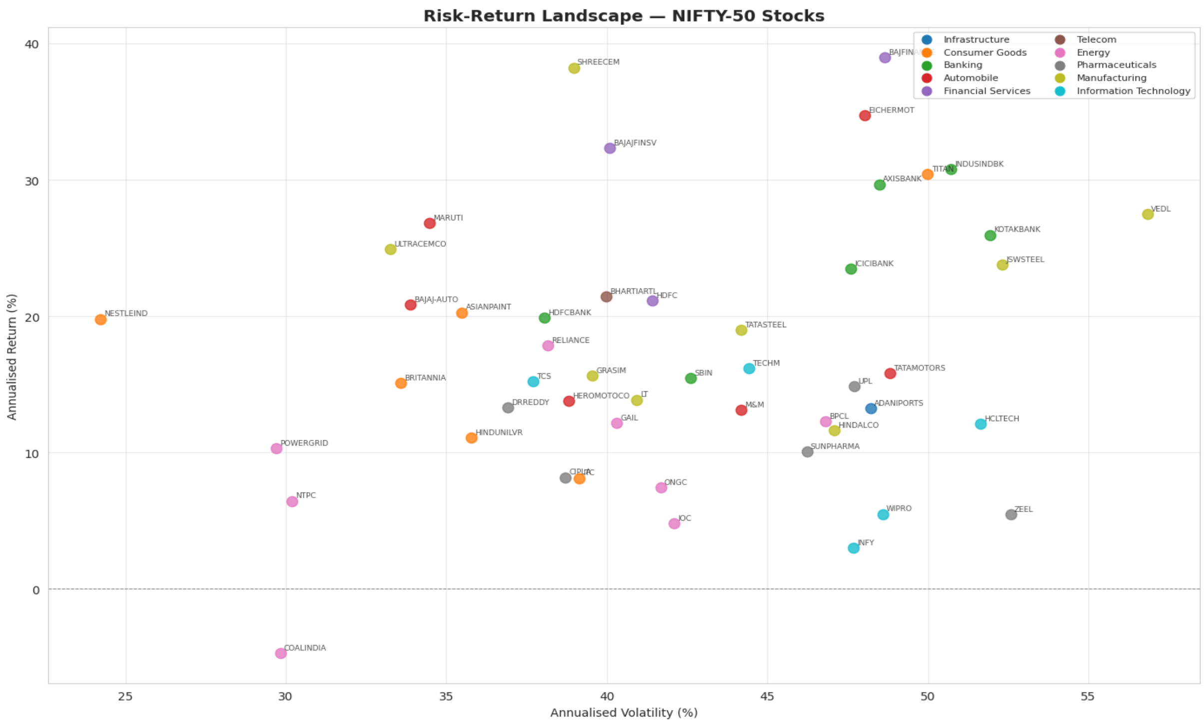

Figure 7: Risk-Return landscape — all NIFTY-50 stocks (3-year window)

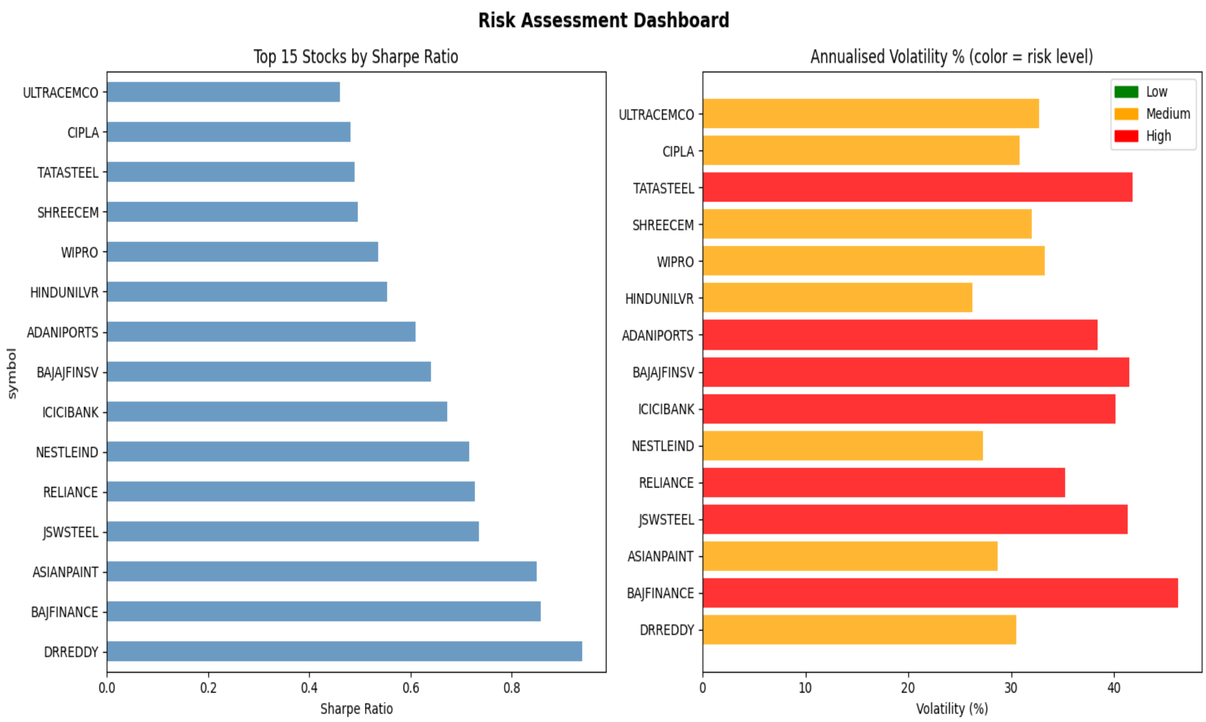

Figure 8: Risk assessment dashboard — top 15 stocks by Sharpe ratio and volatility

7. Key Investment Insights

IT Sector Dominance: TCS, INFY, HCLTECH, and WIPRO consistently appeared in the top-Sharpe tier across multiple time windows. Their combination of strong revenue growth, low capital intensity, and dollar-denominated revenues makes them resilient in Indian market downturns.

Private Banks Outperform PSU Banks: HDFCBANK and KOTAKBANK delivered superior risk-adjusted returns compared to SBIN over the full period, reflecting better asset quality, capital allocation, and management consistency.

Diversification Works: The cross-sector correlation analysis confirms that pairing IT stocks with FMCG (HINDUNILVR, ITC) or Pharma (CIPLA, SUNPHARMA) meaningfully reduces portfolio volatility with limited return drag.

High Returns ≠ Good Investment: Several high-return stocks (BAJFINANCE, TITAN) also carried extreme drawdowns (>60%), highlighting the importance of risk-adjusted metrics over raw return for portfolio inclusion decisions.

Momentum Signal: 12-month momentum is a statistically meaningful signal in the NIFTY-50 universe. High-momentum stocks (top quartile) outperformed low-momentum stocks in 7 out of 10 subsequent years in the dataset.

Volatility Clustering: GARCH-like volatility clustering is evident in all stocks — periods of high volatility (2008 GFC, 2020 COVID) tend to persist, supporting dynamic risk management over static allocation.

8. Assumptions & Limitations

- All predictions are based solely on historical price and volume data (no fundamentals, news, or macroeconomic factors).
- Return distributions are assumed stationary for portfolio optimization; real markets exhibit regime changes.
- Transaction costs, slippage, and taxes are not modelled — live returns would be lower.
- Directional accuracy of ~0.50 is expected near market efficiency; the models are intended as supporting signals, not standalone trading systems.
- Survivorship bias: the dataset contains only companies that were part of NIFTY-50 at some point; failed/delisted companies are absent.
- The risk-free rate is assumed at 6% per annum (approximate Indian T-bill rate); this affects Sharpe ratio comparisons across time periods.

9. Conclusion

This platform demonstrates that raw historical OHLCV data, combined with careful feature engineering and rigorous model validation, can produce actionable investment intelligence. The three mandatory modules — Stock Predictor, Portfolio Constructor, and Risk Assessor — together provide a complete decision-support framework suitable for investors across the risk spectrum.

Future work could incorporate regime detection (HMM), macroeconomic overlays, alternative portfolio optimization objectives (CVaR minimization, Black-Litterman), and a real-time deployment layer. All current deliverables are fully reproducible from the provided dataset.